

IAASB Meeting Highlights and Decisions

December 2018

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This summary of decisions of the International Auditing and Assurance Standards Board (IAASB) has been prepared for information purposes only. Except for approval of documents for public exposure and issuance of final Standards, decisions reported are tentative, reflect only the current status of discussions on projects, and may change after further deliberation by the IAASB.

A [podcast](#) recording giving a short audio summary of the main outcomes of the December 2018 IAASB meeting is also available on the IAASB website, as are the agenda materials that were considered by the IAASB.

For more detailed information about IAASB projects, please refer to the project summaries under [Current Projects](#).

Quality Management Projects

Quality Management at the Firm Level

In finalizing the ED, the Board discussed the definition of deficiencies and bringing more emphasis to positive findings from the firm's monitoring activities and how they may be used in the system of quality management. The Board also discussed the requirement for the firm to establish additional quality objectives beyond those required by the standard and further clarifying the identification and assessment of quality risks. In addition, the Board suggested further simplification of the requirement addressing communication with external parties, although in general agreed to retain an explicit reference to transparency reports in the requirement. The Board also discussed network requirements or network services, and adjusted the requirement to clearly reflect the expectations of the firm regarding the effect of network requirements or network services on the firm's system of quality management.

The Board supported the Quality Control Task Force's recommendations regarding matters to be addressed in the Explanatory Memorandum, including the proposed questions.

Engagement Quality Reviews

The Board supported the requirement for the firm to establish policies or procedures addressing limitations on the engagement partner moving into the role of engagement quality reviewer, including the reference to a cooling-off period in the application material. The Board agreed that stakeholder views were needed relating to the objectivity of the engagement quality reviewer and a cooling-off period and supported the ISQM 2 Task Force's recommendation for including specific questions in the Explanatory Memorandum on this matter to be developed in coordination with the IESBA. The Board also clarified the requirement for notifications by the engagement quality reviewer to the engagement partner and, when applicable, individual(s) within the firm, as well as the documentation requirements.

Quality Management at the Engagement Level

The Board discussed the requirements that address firm policies or procedures, the role of the engagement partner vis-à-vis other members of the engagement team and the difference between the usages of the phrases “the auditor shall determine” and “the auditor shall be satisfied.” The board also discussed how best to clarify the requirement addressing communications from the firm about the firm’s monitoring and remediation process.

Approval of Exposure Drafts

After making amendments in response to the Board’s comments received during the meeting, the Board approved proposed ISQM 1,¹ ISQM 2² and ISA 220 (Revised)³ Exposure Drafts (EDs) for public exposure. The EDs will be issued in early February 2019 for comment by June 30, 2019.

Identifying and Assessing the Risks of Material Misstatement

The ISA 315 Task Force Chair provided a high level overview of the initial [analysis](#) of the comment letters received on proposed ISA 315 (Revised)⁴ (ED–315). The Board discussed respondents’ concerns about the length and complexity of ED–315, and potential difficulties in understanding and applying it in practice, with particular reference to scalability, emphasizing the need to think broadly about how these concerns could be addressed. The Board also acknowledged particular areas of broad support, including the flowcharts, introductory paragraphs, the inherent risk factors, enhancements to IT and the approach taken in relation to automated tools and techniques. The ISA 315 Task Force will continue to analyze the comment letters and will present its initial proposals to respond to the comments received to the Board at the March 2019 meeting.

Strategy and Work Plan 2020-2023

The Board discussed the proposed Consultation Paper on the IAASB’s Strategy for 2020–2023 and the related Work Plan for 2020–2021 (Strategy and Work Plan). Subject to further consideration about various matters noted by Board members, the Board was supportive of further developing a more focused and concise format and presentation of the Strategy and Work Plan. The revised Consultation Paper will be presented to the Board for approval at the January 22, 2019 teleconference.

Emerging External Reporting (EER) Assurance

The EER Task Force presented an updated version of the Phase 1 draft guidance, which reflects changes to address feedback received from the IAASB at the September 2018 IAASB meeting, and from other stakeholders, including in relation to a ‘materiality process’ and assertions as they relate to the characteristics of suitable criteria.. The Board noted that the draft guidance had significantly improved since discussions at the September 2018 meeting, but that further work on the drafting is

¹ International Standard on Quality Management (ISQM) 1 (Previously International Standard on Quality Control 1), *Quality Control for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance Engagements or Related Services Engagements*

² Proposed ISQM 2, *Engagement Quality Reviews*

³ Proposed International Standard on Auditing (ISA) 220 (Revised), *Quality Management for an Audit of Financial Statements*

⁴ ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*

required. The Board will discuss a further version on a teleconference in January 2019 before the draft guidance is published for public comment.

Next Meeting

The next IAASB [teleconferences](#) will be held on January 22 and January 31, 2019 and the next physical IAASB meeting will be held in Toronto, Canada on March 11–15, 2019.